

SOURCEBOOK

COBS Conduct of Business Sourcebook

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COBS 8A Client agreements (MiFID provisions)

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Application and purpose provisions

- COBS 8A.1.1** R This chapter applies to a *firm* in relation to its *MiFID, equivalent third country or optional exemption business*.
- COBS 8A.1.3** G In order to provide legal certainty and enable *clients* to better understand the nature of the services with which they are provided, *firms* that provide *investment services* or *ancillary services* to *clients* should enter into a written basic agreement with the *client*, setting out the essential rights and obligations of the *firm* and the *client*.
- COBS 8A.1.3A** G Certain provisions in this section require *firms* to provide *clients* with information ‘in good time’. *Guidance* on the provision of information ‘in good time’ can be found in **COBS 1.4.2G**.

Providing a client agreement: retail and professional clients

- COBS 8A.1.4** R
- (1) This *rule* applies to a *firm* that provides to a *client*:
 - (a) an *investment service*; or
 - (b) the *ancillary service* in *paragraph 1* of Part 3A of Schedule 2 to the *Regulated Activities Order* (safekeeping and administration of financial instruments).
 - (2) A *firm* must enter into a written basic agreement with the *client*, on paper or another *durable medium*.
 - (3) The requirement in (2):
 - (a) only applies to a *firm* that provides *investment advice* where the *firm* will undertake a periodic assessment of the suitability of the *financial instruments* or services recommended;
 - (b) does not apply to a *firm* in relation to *providing targeted support*.
 - (4) The written agreement in (2) must set out the essential rights and obligations of the *firm* and the *client* and must include the following:
 - (a) a description of the services, and where relevant the nature and extent of any *investment advice*, to be provided;
 - (b) if the services covered by the agreement include *portfolio management*:
 1. (i) the types of *financial instruments* that may be purchased and sold;
 - (ii) the types of transactions that may be undertaken on behalf of the *client*; and
 - (iii) any instruments or transactions that are prohibited; and
 - (c) a description of the main features of any services of the type in (1)(b) to be provided, including where applicable:
 - (i) the role of the *firm* with respect to corporate actions relating to *client* instruments; and
 - (ii) the terms on which *securities financing transactions* involving *client* securities will generate a return for the *client*.

General requirement for information to clients

COBS 8A.1.5

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- (1) A *firm* must provide a *client* with:
- (a) the terms of any agreement for the provision of *investment services* or *ancillary services*; and
 - (b) the information required by *COBS 6.1ZA.5R* and *COBS 6.1ZA.8R* relating to that agreement or to those *investment services* or *ancillary services*.
- (2) The *firm* must provide the terms and information in (1):
- (a) in good time before the *client* is bound by the agreement; or
 - (b) if earlier, before the provision of the relevant *investment services* or *ancillary services*.

COBS 8A.1.7

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The information in *COBS 8A.1.5R* must be provided in a *durable medium* or by means of a website (where it does not constitute a *durable medium*) provided that the *website conditions* are satisfied.

Avoiding duplicate information

COBS 8A.1.8

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- (1) *Rules* in *COBS 6.1ZA* and *COBS 14.3A* require a *firm* to provide a *client* with information about:
1. (a) the *firm* and its services for *clients* and potential *clients* (including information on communications, conflicts of interest and authorised status);
 2. (b) *financial instruments*;
 3. (c) safeguarding of *client financial instruments* or *client* funds; and
 4. (d) costs and associated charges.
- (2) Provided the information referred to in (1) is communicated to a *client* in good time before the provision of the service, a *firm* does not need to provide it either separately or by incorporating it in a *client* agreement.
- (3) [deleted]

[Note: recital 84 to *MiFID*]

Record keeping: client agreements

COBS 8A.1.9

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A *firm* must establish a record that includes the document or documents agreed between it and a *client* which set out the rights and obligations of the parties, and the other terms on which it will provide services to the client.

[Note: article 25(5) of *MiFID*]

COBS 8A.1.10

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Records which set out the respective rights and obligations of the *firm* and the *client* under an agreement to provide services, or the terms on which the *firm* provides services to the *client*, must be retained for at least the duration of the relationship with the *client*.

COBS 8A.1.11

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For the purposes of this chapter, a *firm* may incorporate the rights and duties of the parties into

an agreement by referring to other documents or legal texts.

[Note: article 25(5) of *MiFID*]

COBS 8A.1.12



When considering its approach to *client* agreements, a *firm* should be aware of other obligations in the *Handbook* which may be relevant. These include the *fair, clear and not misleading rule*, the *rules* on disclosure of information to a *client* before providing services (principally in *COBS 2.2A*, *6.1ZA* and *13*) and the provisions on record keeping (principally in *SYSC 9*).